operating management at the branches. They also recommended the setting up of committees at the central, circle, and branch levels for monitoring, reviewing, and supervising the bank's performance.

A major pillar of the restructuring was the introduction of performance budgeting as an important tool of management control. Talwar summed it up succinctly when he observed: 'An integral part of the reorganization scheme is the budgetary control system through which the business, incomes costs and profits of each unit of the bank are planned on an annual basis. The actual performance of each unit is evaluated periodically to ascertain the variation with the budgeted levels, and appropriate remedial measures initiated in time to bring the performance in line with the planned growth levels. The system as introduced enables the bank to plan its business growth with due regard to its available resources and the changing environment, and provides for the active participation of the operating officials in determining, along with their controlling authorities, their own unit budgets. The budgetary control system thus serves not only as a useful mechanism for linking unit objectives with corporate objectives but also gives a sense of direction and purpose to each operating unit.'[7]

The steps proposed by the consultants for the management to plan, take and implement decisions, and evaluate performances included development of a planning system for setting short-range targets, setting of the overall corporate budget based on strategic directions, formulation for the LHOs and branches on the basis of historical data, and projected levels of achievement across market segments keeping in mind financial, operational, and other constraints. The steps also addressed formulations of draft policy guidelines by the LHOs, finalization of circle budgets, branch budgets, and arriving at targets at the three different levels as performance benchmarks to be achieved during the budget period of a year. A reporting system for flow of information to different management levels on actual performance against the targets set was also developed.

Efforts were also made to rationalize the information structure so that the system would provide data for operational control as well as for statistical analysis. The practice of providing information through multiple returns was not an effective method of control. Performance budgeting, it was felt, would facilitate interpretation of financial, operating, and economic information at every level and become an effective tool for management